

Coinbase Q1 2026 Earnings Transcript

Blind Sentiment & Directional Score

David Eji

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Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in \{\text{BUY, HOLD, SELL}\}$, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above $+2.00\%$, BUY is correct. Below -2.00% , SELL is correct.
- **Timing rule:** The company releases after the market close. The overnight move is defined as $(\text{next-trading-day Open} \div \text{release-day Close}) - 1$, applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Research:** Google is allowed for context (definitions, prior-quarter framing, industry data). Not allowed before sealing: the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The $\pm 2.00\%$ band applies to the overnight move only.

Report metadata

Company	Coinbase Global, Inc. (COIN)
Report	Q1 2026
Release date	Thursday 7 May 2026, after close
Earnings call	5:30pm ET
Source transcript	Insider Monkey and Seeking Alpha transcripts (Motley Fool slug not located)
Press release	Form 8-K, SEC EDGAR, filed 7 May 2026
Read mode	transcript and news only
Time to produce	63 minutes

Source material (read this first)

Headline financials

- Total revenue \$1.4B, down 21% quarter over quarter, below the roughly \$1.56B expected.
- Transaction revenue \$756M. Subscription and services \$584M, down 16%.
- GAAP net loss \$394M and EPS of $-\$1.49$ against a small positive consensus. Adjusted EBITDA still positive at \$303M, the 13th consecutive positive quarter.

Forward guide

- Q2 subscription and services guided to \$565M to \$645M.

- Tech, development and G&A expenses guided down 4% to 9% quarter over quarter, with \$50M to \$60M of restructuring charges.
- Full-year 2026 adjusted expenses \$4.3B to \$4.6B.

Hedges and concerns

- Total crypto market cap and trading volumes both fell more than 20% quarter over quarter.
- Institutional transaction revenue dropped 27% as low volatility cut hedging demand at Deribit.
- Long-term fee compression acknowledged as a risk, with diversification the stated answer.

News and context going into the print

Pre-release context only. Nothing below reveals the market reaction to this report.

- Crypto had a weak start to 2026, with March spot volumes the lowest in over two years.
- Barclays downgraded the stock in April, cutting its target to \$148 from \$258 on weak volumes and elevated costs.
- By early May bitcoin had recovered above \$70k with renewed ETF inflows, so the debate going in was whether the worst quarter was already priced.

FOMC backdrop (point-in-time, Fed event-study linkage)

Added under the Fed extension (Mode B): the most recent FOMC statement released before this print. The statement is scored separately in the Fed event study; its stance doubles as the macro input for the in-prompt conditioning arm.

- **Latest statement:** 29 April 2026 – hold at 3.50–3.75%.
- **Stance read:** Hawkish hold: fresh inflationary pressures muddying the outlook for further easing.
- **Event-study convention:** statement scored against the short-rate proxy as the primary instrument (SPY, TLT and XLF secondary), close-to-close on statement day; IC against the continuous reaction is primary.

Candidate evidence quotes

1. “Crypto trading volumes have grown more than 50x in the last 7 years” – Armstrong, prepared remarks.
2. “This is our 13th consecutive quarter of positive adjusted EBITDA” – Haas, prepared remarks.
3. “We reached an all-time high in Coinbase crypto trading volume market share in Q1” – Choi, Q&A.
4. “We are confident that the bill is going to head to markup this month with a floor vote to follow in early summer” – Grewal, Q&A.

Your scoring – fill in below, then seal

1 Sentiment score

Score: +0.35

Rationale. Revenue was soft, but a 13th straight quarter of positive adjusted EBITDA, a record trading-volume market share and disciplined cost cuts point to a franchise taking share through the down-cycle.

2 Directional signal

Signal: BUY

Rationale. Market-share gains and cost discipline into a recovering crypto tape outweigh a backward-looking revenue miss. BUY.

3 Structured summary

- **Trading and volumes.** Weak everywhere, with institutional revenue down 27%.
- **Subscriptions and services.** Falling with crypto prices and lower rewards.
- **Costs and balance sheet.** The one lever working, guided down with restructuring on top.
- **Forward guide.** Modest and defensive.

4 Evidence quotes

1. “*This is our 13th consecutive quarter of positive adjusted EBITDA*” – Haas, prepared remarks (resilience).
2. “*We reached an all-time high in Coinbase crypto trading volume market share in Q1*” – Choi, Q&A (share).
3. “*Crypto trading volumes have grown more than 50x in the last 7 years*” – Armstrong, prepared remarks (long view).

— SEALED —

Overnight move and call verification

COIN close, 7 May 2026 (release day)	\$192.96
COIN open, 8 May 2026	\$186.05
Overnight move (release close → next open)	−3.58%

Call verification

- HOLD band test: $|-3.58\%| \geq 2.00\%$, so this is not a HOLD.
- Sign test: the move is negative, so the correct directional call is **SELL**.
- Score given vs. correct call: signal was **BUY**. The correct call was **SELL**, so the call was **INCORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	− 3.58%
D+1 close	+4.25%
D+3 close	+7.61%
D+5 close	+9.87%
D+10 close	+0.31%
D+20 close	−21.02%